U.S. Equity Factor Insights - October 2026

Stay the Course

SIGNATURE

We still prefer Value vs Growth given strong economic growth + inflation, resilient consumer spending & headwinds to Growth from rising funding costs & data center politics. Stay Positive on large vs small caps as the latter come suffer from persistently high rates. We maintain all other views.

The methodology behind US & EU factor basket construction can be viewed in Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 2 Apr 2025.

We maintain all factor views: Positive on Value and Large-over-Small, Neutral on Growth, Momentum, Quality and Yield, and Negative on High-over-Low Volatility

- **Value over Growth:** Persistent inflation, resilient economic activity, and tighter financial conditions are likely to benefit Value at the expense of the market's narrow AI-led leadership. Rising funding costs and growing scrutiny of AI-related spending increase the likelihood that performance broadens toward more cyclical and under-owned segments of the market from the crowded AI trade.

- **Large-over-Small Size:** Higher interest rates remain a significant headwind for smaller companies given their greater dependence on external financing. With the Russell 2000 and S&P 600 down 7.6% since the end of 1H26, versus a 4.0% gain for the S&P 500, the market continues to reward stronger balance sheets and more durable earnings profiles.

- **Momentum:** Recent performance has been driven largely by strength in Semiconductors, AI-related beneficiaries, and energy-linked stocks, leaving the factor well positioned if those trends persist. However, historical patterns suggest midterm elections often disrupt prevailing leadership and increase factor volatility.

- **Quality:** Despite 10-year Treasury yields remaining above 5%, aggregate earnings expectations remain resilient, reducing the need for traditional defensiveness. At the same time, elevated political uncertainty and the potential for election-driven market volatility continue to support demand for stable names.

- **High-over-Low Volatility:** The factor remains vulnerable to a combination of elevated interest rates, election uncertainty, and fragile risk appetite. Given its unusually high exposure to less-profitable companies, it has historically struggled during market drawdowns and remains sensitive to any deterioration in risk sentiment.

- **Yield:** Higher risk-free rates continue to make traditional income-oriented equities less compelling. However, the factor's meaningful exposure to financials, energy, and other non-AI

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sectors could benefit if investors rotate away from crowded AI trades and market leadership broadens.

US factor analysis and views: October 2026

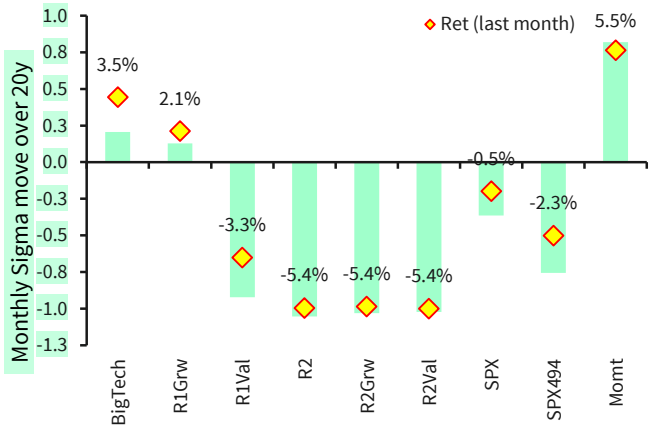
Equity market performance in September 2026:

- The S&P 500 declined a modest 0.5%, as weakness in Banks (-7.3%) and Capital Markets (-9.9%) more than offset continued strength in AI-linked areas of the market. Semiconductor stocks gained 7.2%, while Big Tech advanced 8.1%, helping limit the broader market's downside.

- Small caps underperformed sharply, falling 5.4% as the surge in bond yields weighed on the more rate-sensitive segment of the market. The move marks a notable reversal from the first half of 2026, when small caps outperformed large caps. The decline was led by Biotech and Banks, which sold off by 6.0% and 4.4%, respectively.

- Within large caps, Growth significantly outperformed Value, with the Russell 1000 Growth gaining 2.1% versus a 3.3% decline for the Russell 1000 Value. The divergence was largely driven by Growth's greater exposure to TMT sectors, particularly Semiconductors, highlighting the renewed strength of the AI theme as the primary driver of Growth's relative outperformance.

FIGURE 1. Momentum rose in September, while small caps (both Growth and Value) sold off



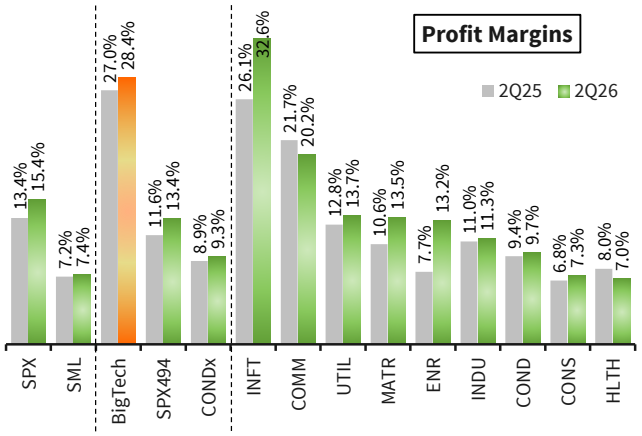
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 2. In 3Q26, Energy saw a dramatic reversal of its 2Q26 losses, gaining 16.5%; Utilities lost 13%

	24Q3	24Q4	25Q1	25Q2	25Q3	25Q4	26Q1	26Q2	26Q3
SPX	5.5%	2.1%	-4.6%	10.6%	7.8%	1.7%	-4.6%	14.9%	2.0%
COMM	1.4%	8.6%	-6.4%	18.2%	11.8%	6.4%	-7.1%	8.1%	3.5%
COND	7.6%	14.1%	-14.0%	11.3%	9.4%	-0.1%	-9.3%	9.1%	-5.3%
CONS	8.3%	-3.8%	4.6%	0.5%	-2.9%	-0.3%	7.0%	-0.3%	-2.4%
ENR	-3.1%	-3.1%	9.3%	-9.4%	5.1%	-0.4%	37.2%	-14.0%	16.5%
FINL	10.2%	6.6%	3.1%	5.1%	2.9%	0.4%	-9.8%	8.6%	-0.5%
HLTH	5.7%	-10.7%	6.1%	-7.6%	3.3%	10.5%	-5.3%	8.3%	6.0%
INDU	11.1%	-2.7%	-0.5%	12.6%	4.5%	-0.6%	4.3%	14.5%	-10.0%
INFT	1.4%	4.7%	-12.8%	23.5%	13.1%	0.9%	-9.3%	31.6%	7.0%
MATR	9.1%	-12.8%	2.3%	2.6%	2.6%	-0.6%	9.3%	1.6%	-3.2%
RE	16.3%	-8.8%	2.7%	-1.0%	1.7%	-4.4%	1.9%	7.5%	-6.3%
UTIL	18.5%	-6.2%	4.1%	3.5%	6.9%	-2.5%	7.5%	-1.2%	-13.0%

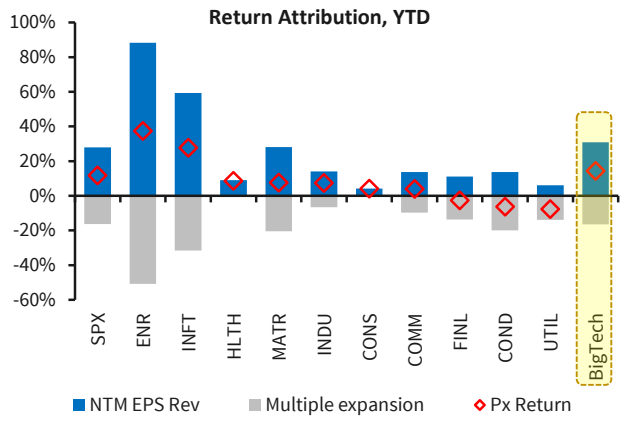
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 3. Margins for Tech, especially outside of Big Tech, far outstrip other sectors



Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 4. Energy has seen the highest earnings growth and steepest valuation decline among sectors



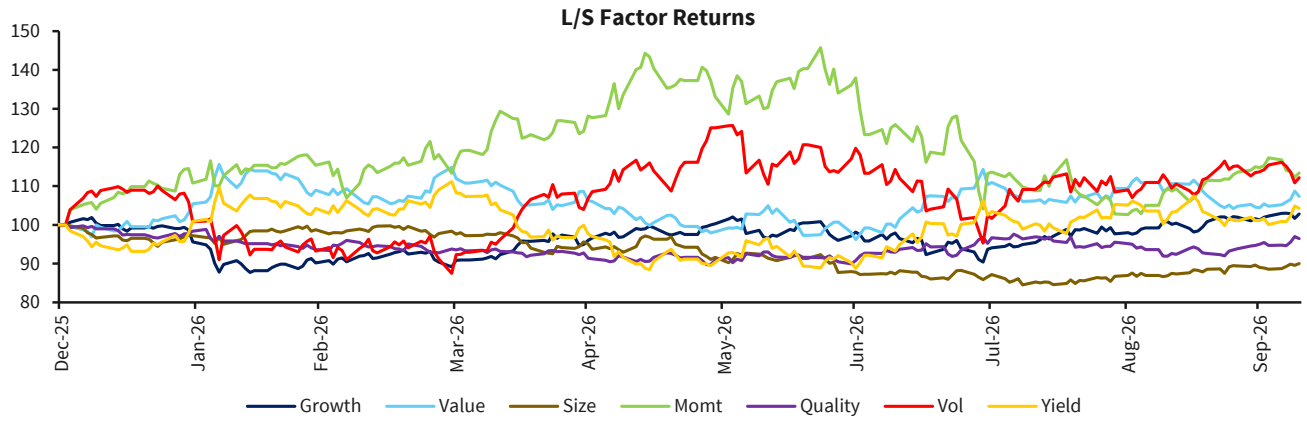
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Basket Performance in the Past Month

Our **all-cap liquidity-weighted** US Factor baskets (see Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 4/2/2025) attempt to capture factor premiums while controlling for stock and sector weights.

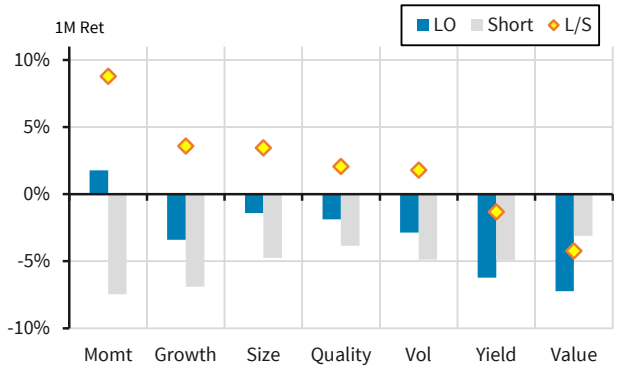
- Growth outperformed Value by 5.3% over the past month as the AI theme regained momentum. Semiconductors and Big Tech, led by META and GOOGL, were the primary drivers of the move, accounting for roughly half of Growth's excess return versus Value.
- Momentum was the strongest-performing style factor, advancing approximately 10% during the month. The gains were largely powered by the AI complex, with strength in Semiconductors and Electrical Equipment, together with weakness in Software, contributing roughly half of the style's overall return.
- Large-over-Small Size gained a modest 3.4% as the surge in interest rates pushed the 10-year U.S. Treasury yield above the critical 5% threshold. Given the greater sensitivity of small caps to financing conditions, the current rate environment has reinforced the performance advantage of large caps and remains an important driver of the style's outlook.

FIGURE 5. Large-over-Small Size has started recovering since the beginning of the interest rate surge, while Momentum currently leads all styles year-to-date; Value still leads Growth YTD



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 10/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 6. Momo gained nearly 10% last month, while Value declined



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility.
Data as of 10/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 7. Growth & Vol are highly correlated, as are Value & Yield

2013 - 2019 LT corr.

12 Month

	GRW	MOM	QUAL	SIZE	VAL	VOL	YLD
GRW		0.51	0.08	0.01	-0.56	0.13	-0.57
MOM	0.37		0.39	0.35	-0.70	-0.36	-0.40
QUAL	0.00	-0.63		0.57	-0.37	-0.55	0.23
SIZE	-0.27	-0.09	-0.20		-0.29	-0.79	0.33
VAL	-0.77	-0.67	0.24	0.31		0.21	0.65
VOL	0.87	0.59	-0.19	-0.40	-0.89		-0.33
YLD	-0.73	-0.78	0.34	0.40	0.95	-0.93	

Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility.
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Discussion & Recommendations

We mainly use three criteria to formulate our factor views – relative fundamentals of our factor baskets vs. their own history, current macro events along with past event studies, and our market outlook ahead.

FIGURE 8. Current US Factor Recommendations - October 2026

Factor	Description	View	Rationale
Growth	High - low	*Neutral*	Rising rates, wider credit spreads, and mounting AI-related financing pressures are making the market less willing to overlook execution risks, while concentrated earnings expectations leave AI-linked leaders vulnerable to revisions.
Size	Large over Small	**Positive**	Higher interest rates and restrictive financing conditions are weighing on smaller companies, whose elevated leverage and weaker profitability leave them more exposed as borrowing costs remain high.
Momentum	Long / Short trend	*Neutral*	Momentum is supported by continued strength in AI-linked sectors and energy-related names, and remains attractively valued versus its history. However, upcoming midterm-election volatility could disrupt prevailing trends, something that is backed up by history.
Quality	High - low	*Neutral*	Resilient earnings growth reduces the need for defensive, high-quality companies, but elevated political uncertainty and the potential for election-driven volatility continue to support demand for more stable businesses.
Value	Cheap - expensive	**Positive**	Persistent inflation, resilient growth, and tighter financial conditions favor economically sensitive and under-owned areas of the market, particularly if leadership broadens beyond the narrow set of AI-driven winners.
Volatility	High vol - low vol	**Negative**	Elevated rates, election uncertainty, and fragile risk sentiment create a difficult backdrop for lower-quality, more speculative companies, leaving the factor vulnerable if market conditions deteriorate.
Yield	High - low	*Neutral*	Higher bond yields reduce the relative appeal of income-oriented equities, but the factor's light positioning, and exposure to financials and other non-AI sectors could benefit if leadership broadens beyond the crowded AI trade.

View as of 10/12/2026. Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Stay Positive on Value and Neutral on Growth for the following reasons:

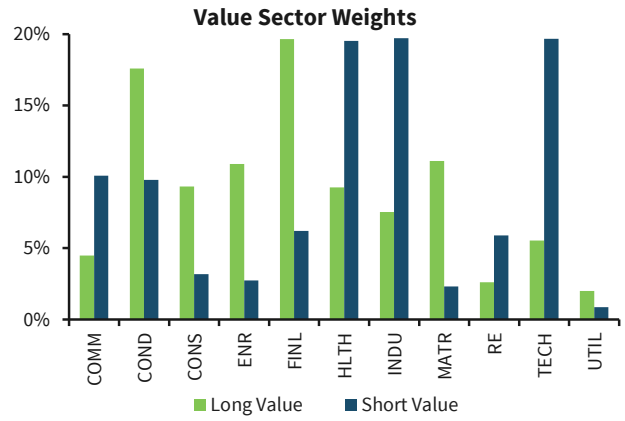
The macro backdrop continues to favor Value, with inflation still above target and economic growth holding up well. At the same time, signs of tighter financial conditions are becoming more evident. We have recently highlighted widening credit spreads across hyperscaler, data center, and neo-cloud issuers, alongside a material increase in hyperscaler CDS spreads (see Evolving AI Risk Premia, 30-Sep-26). The unprecedented wave of credit issuance is occurring as Treasury yields have moved sharply higher, raising the cost of capital. In this environment, investor fatigue with the dominant and highly crowded AI narrative could create a relative tailwind for under-owned segments of the market. As we have argued previously, Value effectively represents an "anti-AI" style factor and stands to benefit if leadership broadens beyond AI-linked winners (the current earnings growth concentration may be vulnerable to downward revisions in semiconductors, which have exhibited some of the largest forecast errors among S&P 500 industry groups, as argued in Checking the chip stack, 7-Oct-26). Moreover, Value also continues to benefit on account of its consumer orientation, as consumer spending has been holding up well (see The consumer who won't quit, 8-Oct-26). As a result, we continue to prefer Value over Growth in the near term.

FIGURE 9. Growth basket has a large tilt toward Tech & Energy and away from consumer-oriented sectors



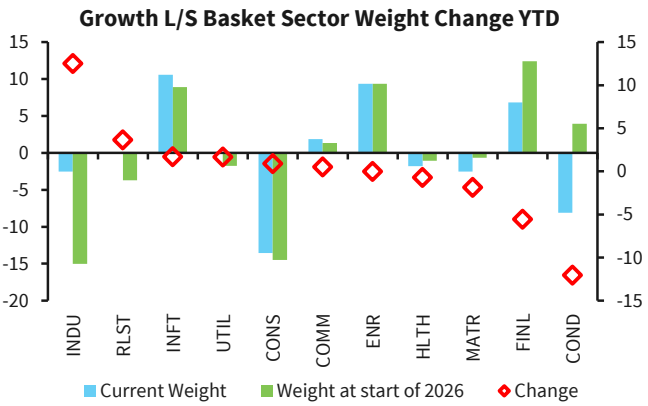
Data as of 09/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 10. Value basket is tilted towards Financials & Materials and away from TMT



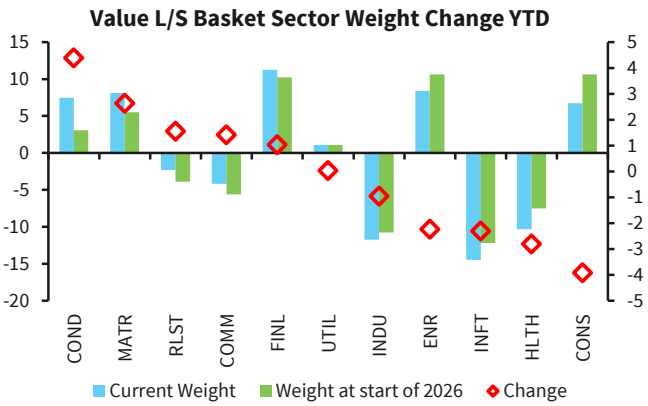
Data as of 09/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 11. Growth has tilted sharply away from Financials and Discretionary and towards Industrials



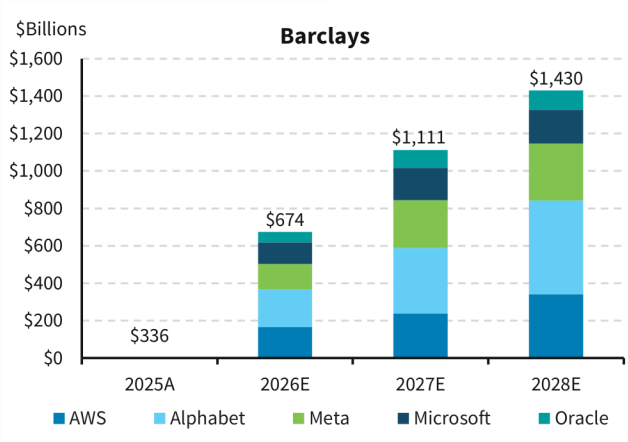
Data as of 10/07/2026
Source: Bloomberg, Barclays Research

FIGURE 12. Value is rotating away from consumer staples towards consumer discretionary as equities sell off on rates surge



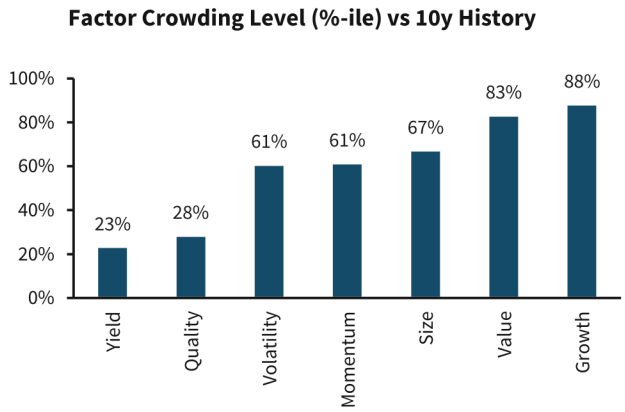
Data as of 10/07/2026
Source: Bloomberg, Barclays Research

FIGURE 13. We foresee annual AI infrastructure spend rising to over $1.4 trillion by 2028



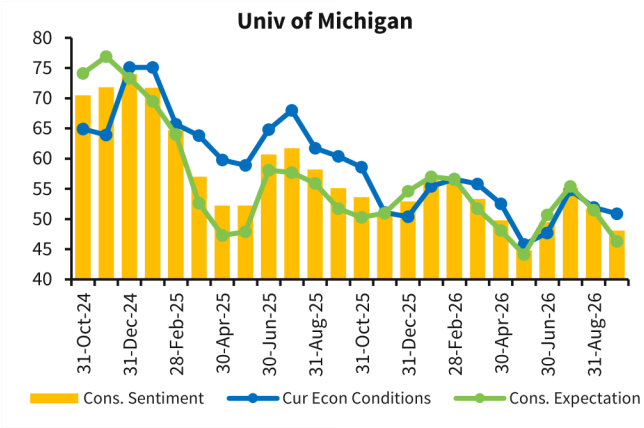
Data as of 10/08/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 14. Growth is the most crowded among styles vs its own long-term history



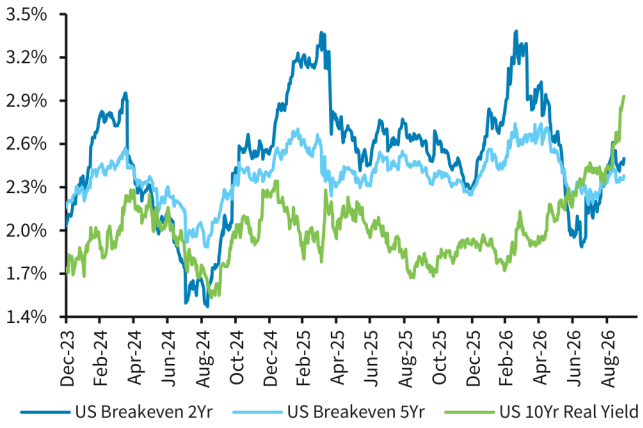
Data as of 10/08/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 15. Consumer sentiment is still weak despite recent improvement



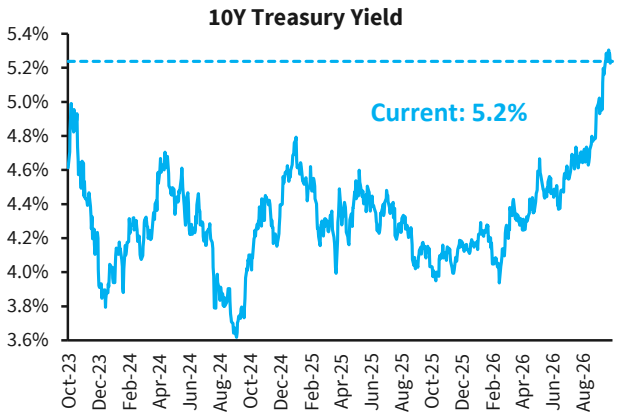
Data as of 09/30/2026
Source: Bloomberg

FIGURE 16. Short-term Inflation expectations have started rising again in recent weeks



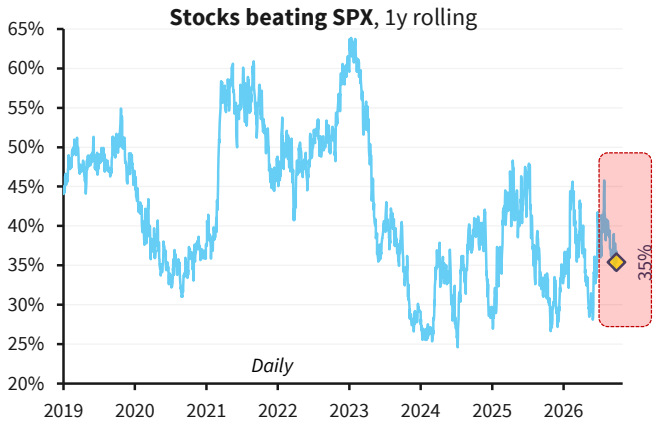
Data includes previous revisions, if any. Data as of 09/30/2026
Source: Bloomberg

FIGURE 17. **10-year rate is currently at 5.2%**



Data as of 10/12/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 18. **The market has broadened again over the past month**

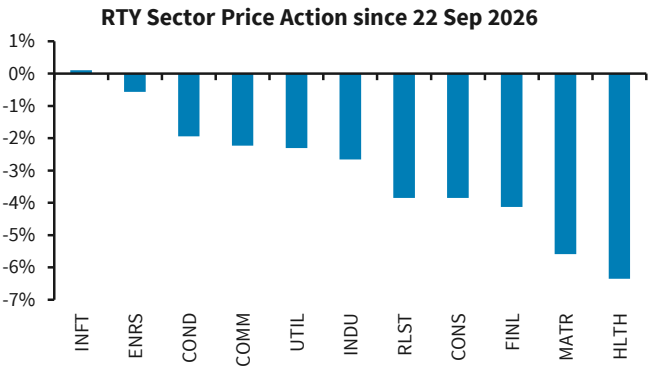


Data as of 09/30/2026
Source: Bloomberg, Barclays Research

We stay Positive on Large-over-Small for the following reasons:

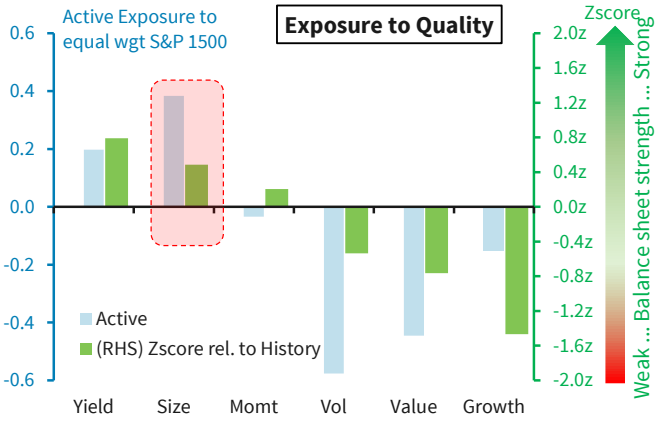
While our preference for large caps initially faced headwinds as strong risk appetite supported small-cap performance, particularly in biotech and banks, the backdrop shifted meaningfully in the second half of the year as interest rates moved sharply higher. This was the key risk we had identified for small caps, given their greater sensitivity to financing conditions. Since the end of 1H26, both the Russell 2000 and S&P 600 have declined by over 7%, while the S&P 500 has gained 4.0%, underscoring the divergence in performance. Importantly, the weakness in small caps has been broad-based, with nearly every sector outside Technology retreating since the 10-year Treasury yield decisively moved above 5%. With Barclays rates strategists expecting the 10-year yield to remain around current levels for the next several quarters (see US midterms: Priced for gridlock, 22-Sep-26), the macro environment is likely to stay challenging for smaller companies. At the same time, small-cap fundamentals remain unappealing, with leverage near post-COVID highs and the share of unprofitable companies still elevated relative to history. Against this backdrop of restrictive financing conditions and weak underlying fundamentals, we continue to favor large caps over small caps.

FIGURE 19. **Almost all smal cap sectors have declined since the 10-year US Tsy yield breached the 5% threshold**



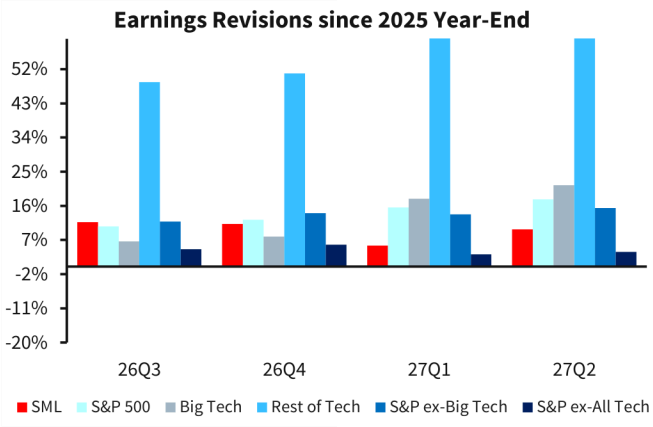
Source: Bloomberg, Barclays Research

FIGURE 20. **Large-over-Small has the strongest earnings and balance sheet strength among styles**



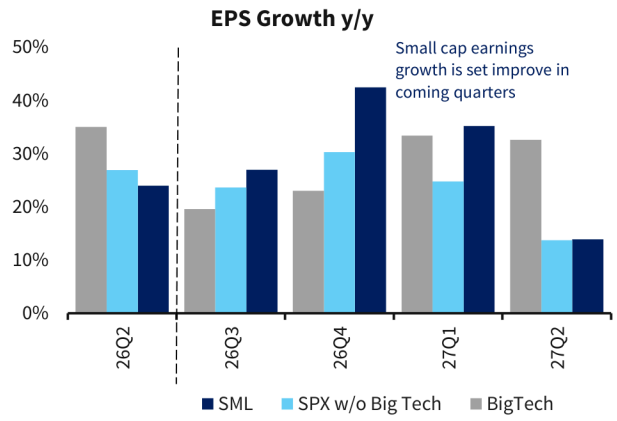
Source: LSEG Data & Analytics, Barclays Research

FIGURE 21. Small cap earnings revisions are near parity with large caps but lagging Tech



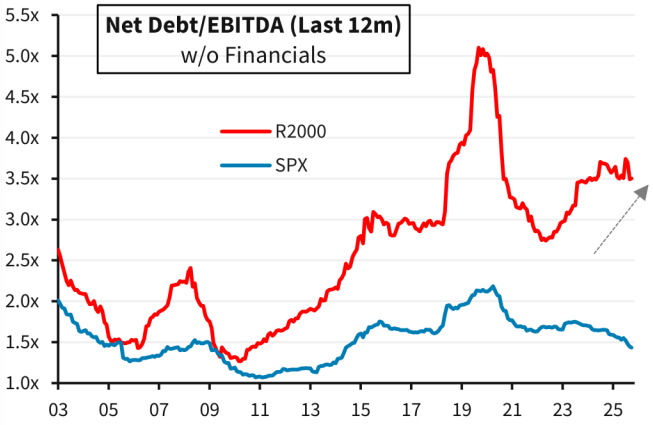
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 22. Earnings growth for small caps is expected to pick up in the next few quarters



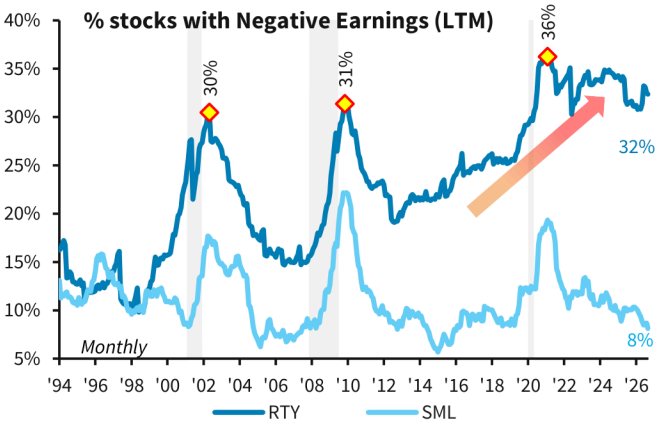
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 23. Small cap debt burden has inched up, and is now at the highest level since late 2021



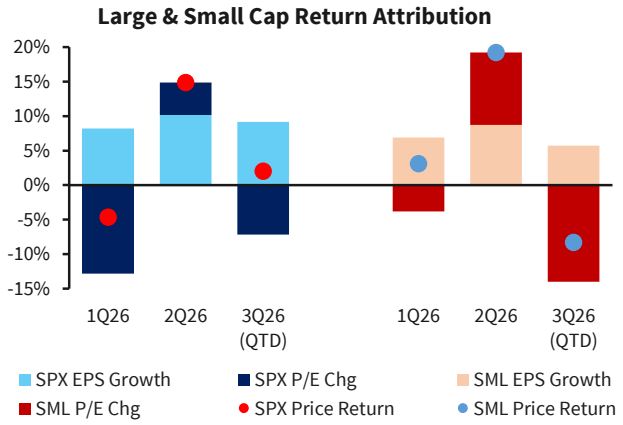
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 24. Share of unprofitable names in Russell 2000 has picked up and is now at 33%



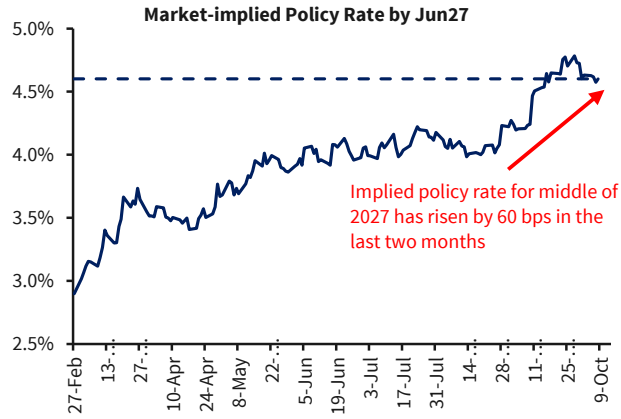
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 25. Small caps' recent excess price gyrations vs large caps have been driven by larger swings in valuation



Data as of 10/07/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 26. Markets are now pricing between one and two hikes by 2026YE, a potential headwind for small caps

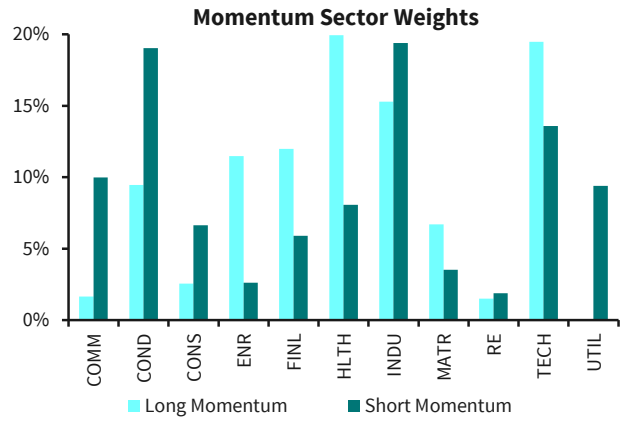


Data as of 10/07/2026
Source: Bloomberg, Barclays Research

Stay **Neutral** on **Momentum** for the following reasons:

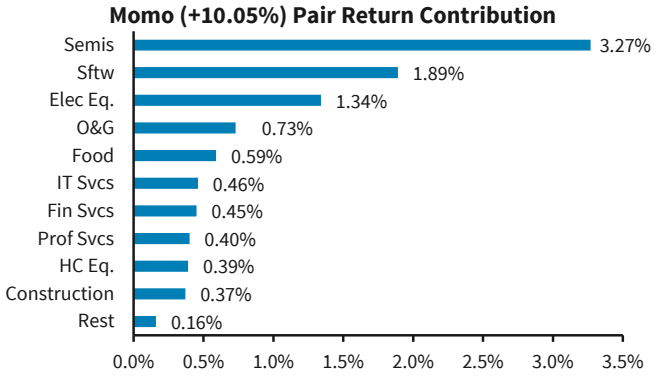
The factor has recovered meaningfully from its earlier drawdown, but the rebound has been driven largely by renewed strength in AI-related stocks. In particular, gains in Semiconductors and Electrical Equipment, partially offset by weakness in Software, account for nearly half of the 10.1% increase in our long/short Momentum basket since the end of August. Looking ahead, Momentum retains meaningful exposure to Semiconductors, Oil & Gas, and Biotech, while remaining underweight Electric Utilities, Specialty Retail, and Media. This positioning leaves the factor supported by two potentially favorable themes: continued earnings strength across AI-linked beneficiaries and elevated geopolitical risk in the Middle East. Moreover, among all the factors we track, Momentum is cheapest style vs its own history. However, a key threat to the style is the upcoming midterm elections, which could disrupt prevailing market trends and increase factor volatility. Empirically speaking, in almost every midterm election year since 2006, Momentum has sold off from the beginning of October through the end of November. Thus, with supportive and adverse forces largely offsetting one another, the outlook for Momentum is finely balanced, and we therefore maintain a neutral stance.

FIGURE 27. Momentum is currently highly tilted towards Energy and away from Tech (especially Software)



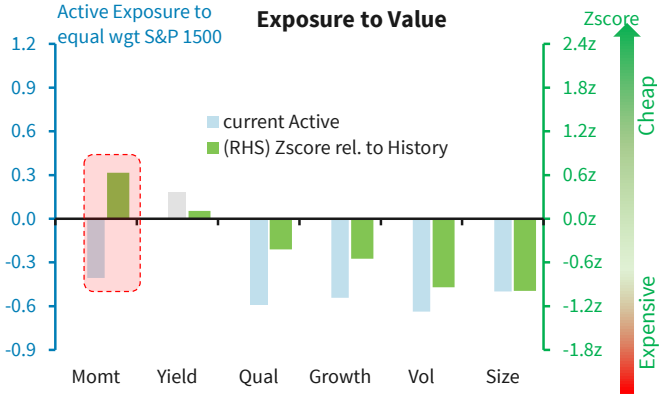
Data as of 09/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 28. Momo's 10.1% uptick was driven by gains in Semis & Electrial Equipment and decline in Software



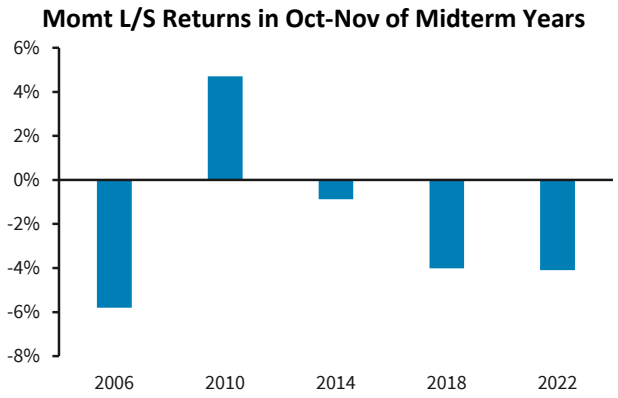
Data as of 10/08/2026
Source: Bloomberg, Barclays Research

FIGURE 29. Among styles we track, Momentum is currently the cheapest vs its own history



Source: LSEG Data & Analytics, Barclays Research

FIGURE 30. In four of the last five midterm election years, Momo sold off from September-end through November-end



Source: Bloomberg, Barclays Research

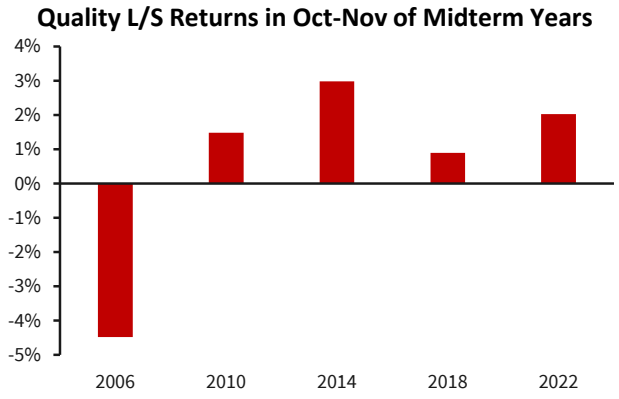
Stay Neutral on Quality: Despite several weeks of 10-year Treasury yields holding above 5%, there are few signs that equity fundamentals are meaningfully deteriorating. Our FY27 earnings forecasts still imply growth rate in the mid-teens, and even a significant downward revision to semiconductor earnings, which currently account for more than 70% of expected earnings growth, would leave aggregate earnings growth in the double digits. In this environment, the defensive characteristics that typically support Quality appear less compelling. At the same time, downside risks to equities remain elevated. The midterm elections represent an important potential catalyst for market volatility, and historically Quality has tended to outperform in the periods immediately surrounding midterm elections. With resilient earnings reducing the need for defensiveness, but political uncertainty preserving demand for quality franchises, the risk-reward profile appears balanced. As a result, we maintain a Neutral stance on the Quality factor.

FIGURE 31. Quality has high long exposure to Financials & Industrials and high short exposure to Real Estate & Utilities



Source: LSEG Data & Analytics, Barclays Research

FIGURE 32. In the last four midterm election years, Quality gained from September-end through November-end



Source: Bloomberg, Barclays Research

Stay Negative on High-over-Low Volatility: Although the style staged a strong rebound during the second half of September, that momentum has faded quickly, and the outlook remains challenging. Looking ahead, High-over-Low Volatility faces several potential headwinds, including elevated interest rates and heightened political uncertainty surrounding the midterm elections. Importantly, our previous work shows that the factor has historically struggled during equity market drawdowns (see Rotation Rattles Risk-on, 11-Feb-26). This reflects its underlying composition: among the style factors we track, High-over-Low Volatility has the lowest share of profitable companies, making it particularly sensitive to shifts in risk sentiment and deteriorating market conditions. With multiple sources of potential stress still present and little evidence of a favorable catalyst on the horizon, we continue to view the risk-reward profile as unattractive and maintain our negative stance on the factor.

Stay Neutral on Yield (Dividends + Buybacks): The prospect of interest rates remaining elevated for an extended period continues to limit the appeal of traditional income-oriented equities, particularly as higher risk-free yields provide investors with an increasingly competitive alternative. However, along with being under-owned, Yield also shares some characteristics with Value as an effective "anti-AI" style factor. Its exposure is concentrated in sectors such as Banks, Insurance, Oil & Gas, and Software & IT Services, leaving it relatively underrepresented in the market's dominant AI trade. As a result, any broadening of market leadership or signs of fatigue in the AI theme could provide a meaningful tailwind for the factor. While the macro backdrop remains challenging, these potential style-rotation benefits argue against an outright negative stance. On balance, the positive and negative forces appear broadly offsetting, leading us to maintain a neutral view on Yield.

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